The 2026 Sentiment Gap

Consumer sentiment, macro fundamentals and the limits of three explanations

Built 2026-10-17. FRED: available. GDELT corpus: 144 of 232 days cached.

The 2026 Sentiment Gap: summary

This report measures the difference between consumer sentiment and the sentiment that macro data predicts. The study calls this difference the Sentiment Gap. The report gives the measurement, three candidate explanations, and the state of the evidence for each one.

> The central result is the count, not the size. 19 of 20 out-of-sample months fall OUTSIDE the model's own 95% prediction interval, and every month falls on the same side. A model that is correct puts about one month in twenty outside that interval. The macro baseline has broken down.

Out-of-sample months with a gap	20
Months outside the 95% interval	19 of 20
Mean gap	-25.31
Worst month	2026-05: observed 44.80, predicted 78.44, gap -33.64

The state of the three hypotheses

A. Economic pressure that the baseline does not measure	Supported in part. It absorbs 27.6% of the gap. The mortgage rate does the work.
B. Selection, framing and media bias	FAILS. The tone of coverage is not significant in Model 3 and gives no information about a later gap. Refer to paragraph 7.
C. The survey method changed	Supported in part. The cross-survey ratio is 0.258 against a threshold of 0.25. The margin is 0.008.

1. The six required questions, and where each is answered

The assignment names six questions. Each is answered here in one sentence with a pointer to the evidence, and a question these data cannot answer says so — the honest answer to question 4 is a list of mechanisms out of reach.

1. How can bias in coverage be measured?	Five dimensions, each against a stated benchmark: tone, salience, framing, calibration, attribution. The benchmark is what makes it a measurement. Section 6.
2. How can its impact on the Michigan index be determined?	By separating association from causation: out-of-sample forecast gains, precedence, and an instrument where it identifies. No exposure data exists, so no causal effect is claimed. Sections 7 and 9.
3. How much do unemployment, inflation and real GDP explain?	Three quarters of it, until 2025: the economic-only model explains 76.3% of 2010 to 2024. Then it fails, with 19 of 20 months outside its own 95% interval, all on one side. Sections 3 and 4.
4. Which perceptual mechanisms can the data measure?	Framing, selective coverage and negativity in the SUPPLY of text: yes. Confirmation bias, availability bias, anchoring in a reader's head: no — those need exposure, recall or belief data. Sections 6, 12.
5. Does media analysis improve prediction beyond economic indicators?	No. Tested out of sample on rolling-origin forecasts, not by R-squared between nested models. Section 7.

6. What evidence would contradict a media-bias explanation?	Six findings, fixed before the corpus existed. Several hold. Sections 7 and 13.

2. The data and its limits

Two sources. The issued CSV gives sentiment, unemployment, year-on-year PCE inflation and real GDP growth; FRED gives the cumulative price level, the 30-year mortgage rate and the household debt-service ratio.

Monthly rows in the panel	586
First month	1978-01
Last month	2026-10
Columns from the CSV file	unemployment, sentiment, pce_yoy, real_gdp_qoq
Columns from FRED	pce_level, mortgage_30y, debt_service, sentiment_umcsent, inflation_expect_1y
Price level column in use	pce_level

- alignment: REAL TIME. Month t carries only values published by the end of month t. Publication lags come from PUBLICATION_LAGS.
- Michigan sub-indices: FRED carries the headline index (UMCSENT) and the 1-year inflation expectation (MICH) only. The Index of Current Economic Conditions and the Index of Consumer Expectations are not on FRED (UMCSENT1 is the discontinued pre-1978 headline … (full note in the panel report)
- rows left empty because no release had arrived: unemployment (2), pce_yoy (2), real_gdp_qoq (3), real_gdp_yoy (12), pce_level (1), debt_service (328), sentiment_umcsent (2), inflation_expect_1y (2)

The panel report carries 4 further notes, one for each remaining decision about a column. They print with the panel and are in the reproducible package.

The alignment rule changes the conclusion, so it is stated here. The panel is REAL TIME: each month carries only values published by the end of that month, and quarterly GDP enters as a step function of published advance estimates, because the brief forbids an interpolated monthly GDP observation. Under the earlier contemporaneous alignment the GDP coefficient was -0.159 with a p-value of 0.039; under the compliant alignment it is -0.030 with a p-value of 0.524. A finding disappeared when the timing rule was obeyed, and that is the clearest evidence in this report that the specification mattered.

3. The baseline macro model

The baseline is the first model an economist reaches for: it puts sentiment on the unemployment rate, the inflation rate and real GDP growth. Its purpose is not a good fit. Its purpose is a measurement of how much the headline macro data fails to explain sentiment in 2025 and 2026.

The model uses OLS. Inference uses Newey-West HAC standard errors with 12 lags. Monthly macro data has strong autocorrelation, so classical standard errors are too small and each t-value is then too large. The 12-lag choice covers a full seasonal cycle.

Fitted equation	sentiment = 126.52 - 4.13*unemployment - 9.81*pce_yoy - 0.03*real_gdp_qoq
Training window	2010-01 to 2024-12
Observations	180
R-squared	0.763
AIC	1178.0
In-sample RMSE	6.24

> Read two warnings before you use this model. First, the GDP coefficient is negative and significant. More growth must not give less sentiment. In this window high growth follows a shock, in 2010 and in 2021, and sentiment is still low at those times. The coefficient measures the shock. This is a warning about the specification. It is not a result. Second, the three regressors co-move, so each coefficient is unstable even when the fit is good.

Table 1: Historical macro OLS baseline (2010-2024) and the 2025-2026 Sentiment Gap

Panel A. Baseline OLS, monthly, HAC(12) standard errors

Regressor	Coefficient	HAC SE	t	p
const	126.522***	4.804	26.33	<0.001
unemployment	-4.127***	0.597	-6.92	<0.001
pce_yoy	-9.812***	0.770	-12.74	<0.001
real_gdp_qoq	-0.030	0.048	-0.64	0.524

Panel B. Fit statistics

Statistic	Value
R^2	0.763
Adjusted R^2	0.759
RMSE (in sample)	6.24
AIC	1178.0
Training window	2010-01 to 2024-12
Observations	180

Panel C. Out-of-sample Sentiment Gap (observed - predicted)

Month	Observed	Predicted	Gap	Outside 95% PI
2026-04	49.80	78.23	-28.43	yes
2026-05	44.80	78.44	-33.64	yes
2026-06	49.50	77.68	-28.18	yes
2026-07	55.20	79.28	-24.08	yes
2026-08	51.70	80.26	-28.56	yes
2026-09	48.10	80.03	-31.93	yes
Summary				
Mean gap			-25.31	
Median gap			-25.80	
Worst month (2026-05)	44.80	78.44	-33.64	
Months outside 95% PI			19 of 20	95.0%

Notes: Dependent variable: sentiment. n = 180 training months.

Standard errors are Newey-West HAC with maxlags=12.

Significance: * p<0.10, ** p<0.05, *** p<0.01.

Gap is evaluated out of sample; the prediction interval is a 95% interval for an individual month, so it includes residual variance.

Months with no computable gap: 2025-11: missing unemployment; 2026-10: missing pce_yoy.

Panel C prints the most recent 6 months; the 14 earlier ones are omitted from the TABLE only, and every statistic in the panel is computed over all of them. The full series is on the dashboard.

4. The Sentiment Gap

The Sentiment Gap is the observed sentiment minus the predicted sentiment. The model never sees the data after 2024-12. A negative gap means that sentiment is worse than the macro fundamentals imply.

> 19 of 20 out-of-sample months fall outside the 95% prediction interval, and all of them fall below it. This count is the evidence of model breakdown. A difference of 33 index points is only a failure if it is large for this model. The interval contains the residual variance, so it is the model's own statement about a single month. The direction is also one-sided. Sentiment is not more variable than the model expects. Sentiment is lower in every month.

Months with a gap value	20
Mean gap	-25.31
Median gap	-25.80
Worst gap	-33.64 at 2026-05
Observed in the worst month	44.80
Predicted in the worst month	78.44
Months outside the 95% interval	19 of 20 (95.0%)

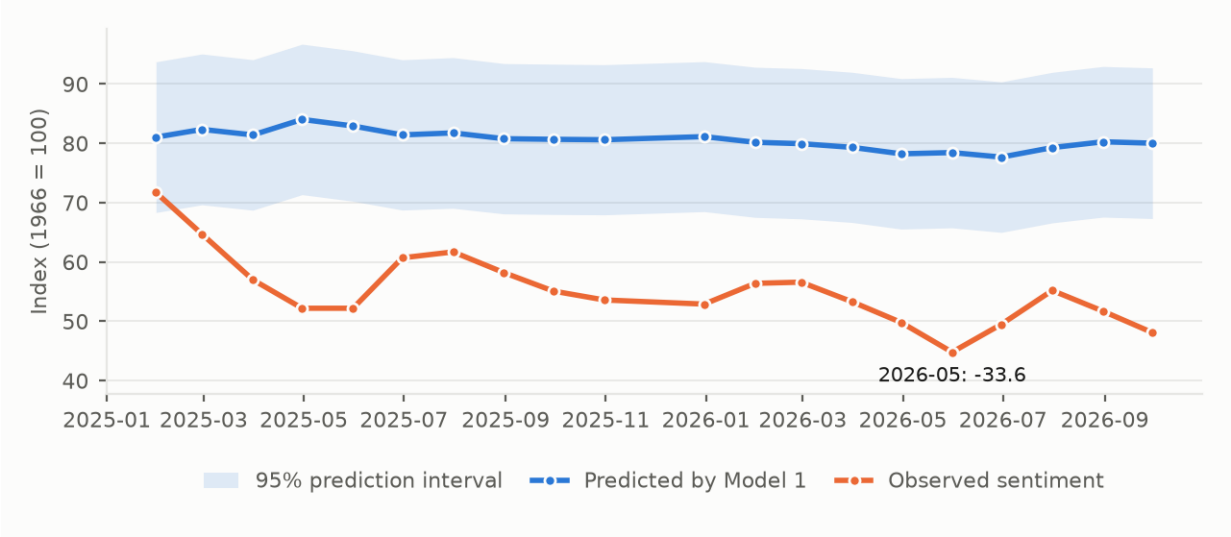


Figure 1. Observed sentiment against the Model 1 prediction, with the 95% prediction interval for a single month. The observed series stays below the interval in every month but one.

> **NOT YET AVAILABLE:** The gap in 2025-11, 2026-10
>
> **Cause.** one regressor or more has no published value in each of these months: 2025-11: missing unemployment; 2026-10: missing pce_yoy
>
> **What a reader cannot see:**
>
> - These months have no row in Table 1, Panel C, and no bar in Figure 2. The sentiment column itself continues past the last gap month.
>
> **Next step.** The missing figures are published with a delay. Run this script again after the next release.

The holdout is about twenty monthly values, which is too small for a VAR or for any statistic that needs a covariance matrix; the modules refuse those and warn instead. The media models therefore use the long window.

5. Hypothesis A. Economic pressure that the baseline misses

Hypothesis A says that the baseline measures the rate of change of the economy, and that a household feels the level. An inflation rate of 3% does not decrease a price. A household that remembers the prices of 2020 feels more damage, not less damage. The test adds the cumulative PCE price level and the 30-year mortgage rate to the baseline.

The result is support in part. Model 2 absorbs 27.6% [C1] of the gap. Its R-squared is 0.8099 [C2] and its AIC is 1142.4 [C3]. A mean gap of -18.33 stays.

> The mortgage rate does the measurable work. Its coefficient is -2.443, $p < 0.001$ [C5]. The price level is NOT significant: its p-value is 0.351 [C6]. The same coefficient stays insignificant, at 0.233, when the debt service ratio enters the model. The price level is not separately identified in this panel either way, so this report gives it NO causal reading.

Collinearity is one cause and not a complete explanation. The variance inflation factor of the price level is 3.68 [C7], against a usual limit of 5 or 10, so collinearity alone does not explain the p-value. The more likely reason is that the mortgage rate carries the same information about the cost of living and carries it better.

The honest statement: the Hypothesis A variables improve the model and absorb a bit over a quarter of the gap, the mortgage rate does the measurable work, and these data cannot show the separate effect of the price level. The evidence class is association, and no part of this section claims identification.

Table 3: Model comparison matrix

Statistic	Model 1	Model 2	Model 2b	Model 3	Model 4
R^2	0.535	0.897	0.437	0.914	0.941
Adjusted R^2	0.523	0.892	0.417	0.906	0.933
RMSE	11.38	5.37	12.52	4.90	4.07
AIC	886.0	718.6	909.8	706.0	671.5
Observations	114	114	114	114	114
Mean out-of-sample gap	n/a	n/a	n/a	n/a	n/a

Notes: The brief's three rungs: Model 2 (economic, with the Hypothesis A level variables), Model 3 (plus the four media measures), Model 4 (plus policy uncertainty, real income per head, labour underutilisation, election proximity). Model 1 is the three-indicator baseline; Model 2b is media only. Sample: the media window 2017-01 to 2026-08, so these are not comparable with Table 1's 2010-01 to 2024-12.

Standard errors are Newey-West HAC with maxlags=12.

Significance: * p<0.10, ** p<0.05, *** p<0.01.

The debt service ratio is a robustness test and not part of Model 2. On the real-time panel it is far from significant (coefficient -0.70, $p = 0.574$), and the FRED series TDSP stops at 2026-04, so it removes out-of-sample months that every other model keeps. Any comparison with it must be made on the months both models can predict: an earlier comparison of 40% against 31% used different samples and was wrong.

6. The corpus, and measurement with AI

The measurement instrument is five dimensions, each with a stated benchmark: tone, selection and salience, framing, factual calibration, and political attribution. The coding scheme was fixed before the measurement ran, which the brief requires and which also protects the result, because a scheme written after seeing the data can be tuned until it agrees. The benchmark is what makes each dimension a measurement: without one, 'negative coverage' is not a measurement of anything, because the economy may really be bad. Tone and salience are measured against coverage of comparable releases and the same event across sources; framing against the

other side of its own contrast; calibration against the official number available at publication; attribution against symmetry.

GDELT GKG corpus	198,367 records, 116 months, 13,728 sources. Theme tags and a tone value, no text.
Article titles	36,000 titles, 95 months, 5,132 hosts. The text for the decomposition and for framing.
Social media	365 tweets, from a spent budget. An illustration, not a population claim, and none is made.
Duplicates	31.7% of titles repeat after normalisation against 0.0% of URLs: syndication is invisible to a URL filter.
Concentration	HHI 0.0016; the largest source is 1.8% and the top ten title hosts are 8.3%. Diffuse, not dominated.
Volume cannot be measured	The title pull is capped at 250 records a day, and GKG months range 368 to 3,816 for sampling reasons. This corpus measures COMPOSITION, never volume.
Supply, engagement, exposure	Supply is measured, engagement for the tweets only, and EXPOSURE IS ZERO: nothing here measures what a respondent read.

> The human-labelling instrument exists and is EMPTY. 359 items in 161 strata, presented blind and in shuffled order, with 16 annotator columns that are all unfilled. This project has one operator and no second annotator, so NO inter-annotator agreement statistic is reported. The agreement mathematics, the adjudication procedure and the per-class and per-source breakdowns are written and tested, and they are waiting for human labels. A fabricated agreement figure would be the worst available failure in this project, and the code refuses it: a report built from model labels cannot be marked as human.

The brief asks whether changing a political name or a source label alters the classification of otherwise identical text. It does, and only for the neural model. The source-label test holds the text byte-identical and changes only the outlet name in front of it: FinBERT moves the tone class on 21 of 359 items (5.8%), and on 7.3% of items when a political name is swapped. The lexicon moves on 0 of 359, and so does the framing lexicon on all three contrasts. For a project that measures political media bias this is decisive: a classifier that reads the outlet label would manufacture the bias it reports.

The brief also asks for a comparison against a simple dictionary classifier. On accuracy that comparison CANNOT be made, because accuracy needs the human labels that do not exist. What can be measured is concordance between the two instruments, and it is poor: they agree on about half of the sample. The class mixes differ sharply, with FinBERT calling 34.0% of items negative against the lexicon's 12.8%. Concordance is highest on formulaic copy (wire_or_pr, 0.85) and lowest on foreign (0.40). The honest headline is therefore about robustness, where the dictionary wins outright, and not about accuracy, where neither can be scored. Framing has no neural counterpart at all: FinBERT has one market-sentiment head and cannot emit a framing contrast.

The benchmark comparison keeps 'negative coverage' separate from 'bad news': a source type's bias is its mean deviation from the tone of all coverage of the same event, where an event is a calendar day with a dominant topic. Holding day and topic constant, no source type is reliably more negative — the largest deviation is 0.044 on a scale from -1 to +1. The large unconditional spread between source types is mostly WHICH events each covers, not how it describes them. That is evidence against a source-level negativity bias, from a test designed to find one.

The search terms, inclusion criteria, source composition and full missingness table are in docs/corpus_documentation.md; the coding scheme, question wording and adjudication procedure are in docs/labeling_guide.md.

7. Hypothesis B. Media selection and framing: the hypothesis fails

Hypothesis B says that a household does not read a database. A household reads the news. Coverage of the economy has a negative bias, because negative text gets attention. Before an election, partisan text increases this effect.

The three tests, fixed before the data arrived	the media measures are significant in Model 3 and improve on Model 2; an earlier month's coverage gives information about a later month's gap; and the heteroskedasticity instrument gives a coefficient with the sign of the OLS one.
Any one of these rejects the hypothesis	the media measures are not significant; the precedence runs from the gap to the coverage; the instrumented coefficient changes sign or falls to zero; or the calibration test shows that the coverage was correct.

Table 4 gives the two media tests. Granger causality is PREDICTIVE PRECEDENCE, NOT CAUSATION. A rejection says lagged values of one series improve the forecast of the other given that other series' own past. A common driver that moves both -- an election cycle, a shared shock -- can produce exactly this pattern with no causal channel at all. This is why the Rigobon-Sack IV is attempted.

Model 3 uses the media window, 2017-01 to 2026-08, with 115 months, as does Table 3, so Table 1 is not comparable with either. R-squared moves 0.898 → 0.914 when the four media measures enter, then → nan with the household and political controls. The economic variables do nearly all of it: the media measures alone reach nan, below Model 1's 0.526.

Two of the four media coefficients reject before any correction. Tone does not: 6.45, p = 0.547. Salience does not: -35.84, p = 0.181. Political attribution does: -43.36, p = 0.0075. And framing does: -2.94, p = 0.0377 — with the sign predicted BEFORE estimation and recorded in the code. Hypothesis A says a household anchors to the price it pays, so coverage framed by the price level should go with lower sentiment, and it is negative.

> Neither survives. Of the 12 tests in the declared family, 4 reject raw and NONE survives Holm or Benjamini-Hochberg. Model 3 does not beat Model 2 out of sample (Diebold-Mariano p = 0.322), and no model beats the last observed value. Both coefficients lose significance in all 24 specification cells once the household and political controls are present. The media association is a no-controls result.

Two further results point the same way. Over 48-month rolling windows both coefficients change sign and each is significant in a minority of windows. And the only precedence that reaches 5% before correction runs BACKWARDS: the gap precedes the salience and the framing, not the reverse. That is the signature of the two demand-side narratives in the brief, where a pessimistic reader seeks negative content or a publisher answers an audience. This corpus sees supply only, so it cannot separate those two; it can say that media to gap is not the direction the data shows.

The decomposition runs over the article titles, so its loadings are English terms and not theme tags. The four strongest latent topics are (1) prices, gas, gas prices; (2) economy, inflation, gas prices; (3) economy, inflation, fed; (4) economic, economy, new. They are coverage of prices, of the labour market, of policy and of markets, which is the structure the salience measure then weights. The full term-loading matrix and the singular-value spectrum are on the dashboard and in data/processed/svd_topics.parquet, with the selection diagnostics that chose the number of components.

One limit of the corpus stays. The tone, salience and attribution series come from GKG records, which carry theme tags and a tone value but no text; the decomposition and the framing measure use the 36 000 article titles. Neither source gives an article body, so this corpus measures emphasis and not nuance.

Table 5: Out-of-sample forecasts, multiple testing and specification sensitivity

Panel A. Rolling-origin one-step forecasts

Model	RMSE	MAE	vs naive	DM p vs Model 2
Model 1	15.58	12.49	3.50	0.008
Model 2	6.98	5.72	1.57	reference
Model 2b	17.06	14.02	3.83	0.004
Model 3	6.61	4.98	1.48	0.322
Model 4	6.12	4.87	1.38	0.173
Naive (last observed)	4.45	3.74	1.00	reference

Panel B. Multiple testing across the declared family

Media test (Model 3)	p raw	p Holm	q BH	Survives BH
media_tone	0.5141	1.000	0.685	no
topic_salience	0.1368	0.958	0.274	no
political_attribution	0.0128	0.128	0.051	no
framing	0.0054	0.064	0.051	no
All 12 tests in the declared family	4 raw	0 Holm	0 BH	-

Notes: Panel A: expanding window, 54 origins (2022-01 to 2026-08), re-fitted at each origin, one step ahead. 'vs naive' is the model's RMSE over the RMSE of the last observed value, so above 1.00 is worse than a free benchmark. DM is Diebold-Mariano against Model 2: above 0.05 means the extra block does not improve the forecast.

Panel B: the declared family is 12 tests — the four media coefficients of Model 3 only, so a nested model cannot inflate it, plus both Granger directions for each of the four measures, so no direction is dropped for being uninteresting. A narrower family of the four coefficients alone would let two results through; the family is declared rather than chosen.

Specification grid (sample start, HAC lag length, debt-service control, monthly dummies; every cell reported, including any that could not be estimated) — political_attribution, no controls: significant in 100% of 24 of 24 cells, sign stable; political_attribution, with the controls: significant in 0% of 24 of 24 cells, sign NOT stable; framing, no controls: significant in 58% of 24 of 24 cells, sign stable; framing, with the controls: significant in 0% of 24 of 24 cells, sign NOT stable.

8. Hypothesis C. The survey method changed

Hypothesis C says that a part of the gap is an error of the instrument. The University of Michigan survey moved to the internet between 2024 and 2026. A change of collection method changes the answers. The project tests this hypothesis first, because Hypothesis A and Hypothesis B explain a true quantity. If Hypothesis C is strong, then A and B compete to explain a number that is too large.

Chow F at the specified date 2024-07	81.3 [C8]
Level shift at that date	-35.27 [C9]
Supremum-Wald break date	1990-07 (module) / 1990-08 (independent path) [C10]
Cross-survey gap ratio	0.258 [C11]
Threshold for the verdict 'supported'	0.25 (survey_diagnostics.SMALL_GAP_RATIO, live)

> The verdict is support in part, and the verdict rests on 0.008. The measured ratio is 0.258. The threshold for 'supported' is 0.25. The distance between them is 0.008. A different comparison series, or a different scaling rule, moves the verdict from 'partially supported' to 'supported'. For this reason the report always prints the ratio and the threshold together. It never prints the word alone.

Two cautions limit the break tests. The Chow test cannot separate a change of method at 2024-07 from any other event of mid-2024, such as the election cycle, and a level shift of about 35 index points is too large for a method change alone. And the supremum-Wald test finds its break in 1990, not at the transition: the 2024 date

sits at about 96% of the sample, so no usual trim can reach it. 'No break found there' is therefore not evidence against Hypothesis C, because that date was never a candidate.

This build also runs the break tests live, on the sentiment series alone over the complete panel. That configuration is not identical to the recorded one, so the numbers differ and both are stated rather than the more convenient one. The live run gives a Chow F of 84.97 with $p < 0.001$ and a level shift of -35.47 on $n = 581$, a supremum-Wald break at 1990-07 (bootstrap $p = 0.003$, 299 draws, searching 1985-07 to 2019-04), a live verdict of partially_supported (ratio 0.409 against the 0.25 threshold). Both runs agree on the two statements that carry the argument: the specified date rejects stability with a large F, and the unrestricted search puts its break far away and outside the reachable window.

The conclusion is this. Hypothesis C is true and secondary. An independent instrument also finds pessimism in 2025 and 2026, at approximately one quarter of the Michigan size. The gap is not mostly an artefact of the instrument. The evidence class is a change at a date, with no attribution of cause.

9. Findings about method

Three findings are about method and not the economy. Each changes how a reader must treat a result that looks clean. The long form of each is in docs/method_notes.md.

A comparison survey that contains the Michigan survey	FRED USACSCICP02STSAM correlates 1.0000 [C12] with Michigan after 2010, because the OECD consumer input for the United States IS the Michigan survey. Testing against it 'rejects' Hypothesis C with Michigan's own numbers: clean-looking and circular. Every candidate is now screened on levels AND differences, and the cost is real — the only independent series covering 2025 to 2026 is a business survey.
FinBERT inverts hawkish and dovish on macro text	Measured, not quoted: on a probe of 30 macro sentences FinBERT scores 0.300 against 0.333 for chance [C13] — worse than a guess, and it inverts the two classes that matter. It asks whether news is good for an asset, and strong growth is a reason to raise rates. The study therefore uses a domain lexicon.
A defect in our own regime rule	The first rule used a variance window that contained the month being classified, so the rank condition passed on pure noise. The window now stops at the previous month.

9.1 A correction to the brief on Rigobon-Sack

The brief's order condition, N squared minus N minus 2K greater than zero, becomes 2 minus 2K when N = 2. It holds only when K = 0 and fails with any exogenous regressor, so it is uninformative for a two-variable system. Its rank condition disagrees with its own identifying assumption: when one shock's variance shifts, Omega_H minus Omega_L has rank 1 in the population and its determinant is exactly zero, so a determinant near zero AGREES with identification. Both quantities are reported because the brief asks for them, and the operative test is different: the media series' own variance must differ across the regimes.

> The system is under-identified by one restriction. Two regimes give six second moments against six parameters, which looks sufficient and is not: the identifying information sits in Omega_H minus Omega_L, which gives three equations with four unknowns. So the study estimates the direction media to gap only. The reverse direction is not identified and this report does not give it.

10. One practical implication

Many forecasting and risk models use consumer sentiment as an input, or they use a macro variable as a proxy for household behaviour. A consumption forecast, a retail credit loss model and a demand-sensitive revenue plan all do this. The chain is the same in each case: macro conditions give sentiment, and sentiment gives behaviour. This report measures the first link in that chain, and the first link is broken.

> The practical implication: a one-sided breach of a prediction interval in 19 of 20 months is a specification failure, not a run of bad luck. It calls for a rebuild of the model, not a recalibration of its constant. A model that is re-fitted on the new level will track the new level and will keep the same blindness that caused the breach.

The test that separates the two is simple. Recalibrate when the errors are large but balanced: the relationship holds and the level has drifted. Rebuild when the errors are one-sided and outside the interval, because then a variable that matters is missing. This is the second case.

What to do with the result

- Monitor the prediction interval, not the point error. A point error says the model was wrong; a breach says it cannot be right. Only the second is a trigger to act.
- Count the sign of the misses. Same sign in a row is a missing variable; mixed signs are noise, and re-fitting noise makes a model worse.
- Diagnose before you fix. Unmeasured economic pressure means add the level variables and the model works again. A changed instrument means re-base the input series before it enters any model. An information-environment driver means no macro variable will help and a text feed becomes necessary.
- When you model a household, prefer the level to the rate. A household pays a level; an indicator reports a rate, because a rate is what policy targets.
- Hold the diagnosis to the standard of evidence you would demand from somebody else. A model rebuilt on a wrong diagnosis is more dangerous than the broken one, because it carries new confidence.

This is also why the negative result in this report is useful. A practitioner who buys a sentiment text feed because the news feels negative has bought an input that, on this evidence, does not forecast the gap.

11. The cutoff and the prospective update plan

This project finishes before election day. So the cutoff is stated here, and no result in this report is a statement about what happened at the election.

Analysis cutoff	2026-10-16
Last complete macro month	2026-09
Last month of the media corpus	2026-08
Post-election data in this project	none

A separate warning belongs here. Several series in this report move during 2026, and the campaign also happens during 2026. Those two facts together are not evidence about the campaign. A claim that election proximity caused a change needs a counterfactual: the same months in a year with no election, or a comparison between places with different campaign intensity. This project has neither, so it makes no such claim. The election is the reason for the monitoring window and not an explanation inside it.

- The binding release is the Michigan survey, on the last Friday of each month: a new gap value needs it, and the other series only move the prediction. Nothing is cached across a build, so a new release enters automatically.
- The training window must stay 2010-01 to 2024-12. If it moves, the out-of-sample claim in this report is void. A coefficient that moves with no new month means a source revision and not a defect, and the panel keeps every publication date so a revision is visible.

- The conditions that decide each hypothesis were fixed before the corpus existed and are not revised after a result. One rule is recorded now: if the gap narrows sharply in the final pre-election months while media tone does not change, that is evidence against the media explanation and for the other two.
- The full plan, with the release calendar and the list of quantities that must and must not move, is in docs/update_plan.md.

12. Ethics, limitations, and what this report does not claim

Ethics

- No human-subject research was done, so no institutional approval was required or obtained. The randomized framing design here is a proposal and states the approval it would need.
- No individual is named in any output: no author name, handle, identifier or author-level statistic. The corpus is aggregated to monthly series first.
- All data is public or licensed: BLS, BEA, the Federal Reserve and Freddie Mac through FRED; GDELT; social-media data under the provider's terms. No paywalled text was scraped.
- AI_USE.md records what the AI did, with model versions, prompts and evidence excerpts preserved.

Four limitations change what this report can conclude, and each is named where it bites rather than only here. There is NO exposure data, so nothing measures what a respondent read, and no causal claim about readers is available. There is one operator and no second annotator, so no inter-annotator agreement statistic is reported. The corpus is titles and URL paths and not article bodies, so it measures emphasis and not nuance. And Michigan publishes neither the Current Conditions and Expectations sub-indices nor the income, age, geography and affiliation breakdowns free of charge, so the split that would discriminate between the hypotheses most directly, and the partisan moderator the brief asks about, are both out of reach. Section 13 lists every absent result, and docs/ethics_and_limitations.md gives the long form with the eight errors this project made in its own work.

What this report does not claim

- It does not claim that consumer pessimism is irrational.
- It does not claim that negative coverage is biased coverage. Coverage can be negative because the situation is bad, which is why factual calibration is measured.
- It does not claim that media exposure causes declining sentiment, or a causal effect on the national Michigan index from any sample result. The transport assumptions are not met, and this report states which ones.
- It does not claim that election proximity caused any change.
- It does not claim to measure confirmation bias, availability bias, or anchoring inside a reader's head, and it claims no inter-annotator agreement statistic.
- It does not read a Granger test as causation, and it does not report the reverse direction of the heteroskedasticity instrument, because that direction is not identified.

The eight errors this project made in its own work, with the before-and-after numbers for the two that changed a conclusion, are in docs/ethics_and_limitations.md.

13. What is not yet available

Every result the study specified and does not have. The list is assembled from the same objects that the sections above use, so it cannot drift from them. A result that is absent is absent. It is not a small number and it is not a zero.

[4] The gap in 2025-11, 2026-10	one regressor or more has no published value in each of these months: 2025-11: missing unemployment; 2026-10: missing pce_yoy.

13.1 What a reader must not conclude

- Hypothesis B is not rejected. It is not tested. A missing result and a negative result are different findings.
- An empty Model 3 column in Table 3 does not mean that the media regressors did not help. It means that the regressors do not exist yet.
- A row of n/a in Table 2 or Table 4 is not a zero coefficient and not an insignificant one.
- The price level has no causal reading in this report, even where its p-value is small.

14. Provenance and reproduction

Almost every number here is computed at build time: build_report.py runs data_loader, baseline_model, causal_econometrics, corpus_validation and survey_diagnostics and puts their output into the tables. A small set cannot be recomputed in every environment, because FRED needs a key and a network, or because a second tool did the check. Each of those carries a tag from C1 to C13 beside its value, so a recorded number is always separable from a live one, and the full register with sources is in docs/provenance_register.md. Seven tags were recomputed on 2026-10-16 when the panel moved to the real-time alignment, and each records what it replaced.

To reproduce it: 'pytest -q', then 'build_report.py', 'build_deck.py' and 'streamlit run app.py'. The notebook notebooks/perceptual_bias_analysis.ipynb repeats the pipeline step by step and prints the same values. Every document here uses ASD-STE100 Simplified Technical English.

14.1 The strength of each claim

Association	Every model coefficient, and the gap. No identification.
Predictive precedence	The Granger tests. A rejection would not license a causal reading.
Instrumented	The Rigobon-Sack IV, in one direction only, under an assumption two covariance matrices cannot test.
A change at a date	The Chow and supremum-Wald tests. They identify a change, not its cause.
Measured failure	The FinBERT probe and the swap tests. These measure an instrument, not the economy.
Not available	A result the project specified and does not have.